

Case Study: UPI / Online Payment Fraud

Cybercrime Type: UPI / Online Payment Fraud

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What Is UPI Fraud?

UPI (Unified Payments Interface) fraud refers to the criminal act of deceiving individuals into authorising or unknowingly completing a financial transaction through India's digital payment infrastructure. Unlike traditional banking fraud, UPI fraud often requires no hacking — it exploits human trust, urgency, and a lack of awareness.

How It Typically Happens (Step-by-Step)

1. **Contact:** The fraudster contacts the victim via phone, WhatsApp, or SMS, posing as a bank official, customer care representative, or known contact.
 2. **Pretext:** They create a sense of urgency — "Your KYC is expiring," "You have won a cashback," or "Someone sent you money by mistake."
 3. **App installation:** The victim is asked to install a screen-sharing app (e.g., AnyDesk, TeamViewer) under the pretext of "assistance."
 4. **UPI request sent:** The fraudster sends a COLLECT REQUEST on UPI — but tells the victim it is a "payment" coming in. The victim unknowingly approves the debit.
 5. **Money transferred:** Funds are immediately moved to multiple accounts to avoid tracing.
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Who Is Usually Targeted?

- First-time UPI users and senior citizens unfamiliar with digital payment systems.
 - Students receiving scholarships or stipends.
 - Online sellers on platforms like OLX or Facebook Marketplace.
 - Anyone expecting a payment, reimbursement, or cashback.
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Consequences

- Direct financial loss, often ranging from a few hundred to several lakh rupees.
 - Psychological distress, anxiety, and loss of trust in digital platforms.
 - In some cases, the victim's account is used for further fraud, making them an unwitting participant.
 - Legal complications if the fraud traces through the victim's account.
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Source

Based on advisories from the **Reserve Bank of India (RBI)** and the **National Cyber Crime Reporting Portal** (cybercrime.gov.in). Scenario is a representative composite of widely reported fraud patterns.

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